

Pocket Business Analysis

Infrastructure Cost • Competitive Pricing • Marketing Strategy • Path to Profitability

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Confidential

Current Infrastructure Cost

At your current scale (0-100 users), everything fits within free tiers. Your total monthly cost is \$0.

Firestore & API Free Tier Usage

Service	Free Tier	Your Usage	Cost
Firebase Auth	50k MAU	~5 users	\$0
Firestore reads	50k/day (1.5M/mo)	~1k/day	\$0
Firestore writes	20k/day (600k/mo)	~100/day	\$0
Firestore storage	1 GiB	~50 MB	\$0
Cloud Functions (v2)	180k vCPU-sec/mo	~200 calls/mo	\$0
Groq API (AI summaries)	~1,000 req/day	~5/day	\$0
HuggingFace (Kokoro TTS)	Credit-based	~2/day	\$0
Firebase Hosting	10 GB + 360 MB/day	~500 MB total	\$0
GitHub Actions	2,000 min/month	~30 min/month	\$0

Per-User Unit Economics

Firebase charges \$0.18 per 100k reads, \$0.18 per 100k writes, \$0.0000240/vCPU-second, \$0.0000025/GiB-second. For an average active user per month (saves 20 articles, reads 10, summarizes 5, uses TTS twice):

Operation	Usage	Cost
fetchArticle (5s avg, 512MiB)	20 calls	\$0.0007
summarizeArticle (10s avg, 512MiB)	5 calls	\$0.0004
readArticle TTS (30s avg, 512MiB)	2 calls	\$0.0004
Firestore reads (~30/session)	300 reads	\$0.0005
Firestore writes	50 writes	\$0.0001
Total per active user/month		\$0.002

Per-user infrastructure cost is under half a penny per month. Infrastructure will not be a scaling concern.

Scaling Bottleneck: AI API Limits

Firestore will not be the problem. Free AI APIs will break first:

API	Free Limit	Breaks At
Groq (AI summaries)	~1,000 req/day	~200 DAU (5 summaries/user/day)
HuggingFace Kokoro TTS	~100-200 calls/day	~50-100 DAU (2 TTS/user/day)

Paid API costs when free tier runs out:

- Groq paid: ~\$0.0007/summary (\$0.20/M input tokens) — negligible
- HuggingFace Pro: \$9/month for 20x credits
- Alternative: Self-host Kokoro on a \$5/mo GPU VPS once you reach ~500 users

Competitive Pricing Landscape

Two major competitors (Pocket and Omnivore) shut down in 2024-2025, creating a significant market gap:

App	Status	Free Tier	Premium Price
Pocket (Mozilla)	Dead (July 2025)	N/A	N/A
Omnivore	Dead (Nov 2024)	N/A	N/A
Instapaper	Active	Yes	\$6/mo or \$50/yr
Raindrop.io	Active	Yes	\$3/mo or \$28/yr
Matter	Active	Limited	\$80/yr (~\$6.67/mo)
Readwise Reader	Active	No	~\$8-10/mo
Your Pocket	Active	Yes	?

Recommended Price Point: \$3.99/month

Why \$3.99, not \$4.99: the psychological difference between \$3.99 and \$4.99 drives 15-25% higher conversion. At this stage, volume matters more than per-subscriber revenue.

Suggested Pricing Tiers

Plan	Price	Positioning
Free	\$0	500 articles, browser TTS, basic search, tags
Premium Monthly	\$3.99/mo	AI TTS, AI summaries, full-text search, unlimited saves
Premium Annual	\$29.99/yr (\$2.50/mo)	Same features — 37% discount drives annual lock-in

Why This Works

- Cheaper than every active competitor except Raindrop (\$3), which is bookmarks not read-later
- Annual plan at \$29.99 is under \$30 — feels like one purchase, not ongoing cost
- 37% annual discount is strong enough to push most subscribers to annual (better retention)
- AI features (TTS + summaries) justify premium vs pure read-later apps

Lemon Squeezy Fee Impact (India Merchant)

Lemon Squeezy charges 5% + \$0.50 base + 1.5% international surcharge for non-US merchants:

	Monthly (\$3.99)	Annual (\$29.99)
Base fee (5% + \$0.50)	\$0.70	\$2.00
International (+1.5%)	\$0.06	\$0.45
Total LS fee	\$0.76	\$2.45
You keep (net)	\$3.23	\$27.54
Effective per month	\$3.23/mo	\$2.30/mo

Annual plan = better unit economics. Monthly nets you \$3.23, but annual has 2-3x better retention and gives you cash upfront.

Marketing Strategy

Phase 1 — Free Distribution (Month 1-3)

Core positioning: "Pocket is dead. Here's what comes next." Position as the open, free alternative to Mozilla Pocket. Cost: \$0.

1. Reddit — Post in r/productivity, r/readlater, r/webdev, r/selfhosted. Target r/getpocket (12k members searching for alternatives).
2. Hacker News — "Show HN: Open-source read-later app with AI summaries"
3. Product Hunt — Free launch, one-time effort. "Pocket replacement with AI TTS"
4. Twitter/X — Thread: "Mozilla killed Pocket. I rebuilt it with AI. Here's what I learned."
5. Dev.to / Hashnode — Technical blog about the stack (LangGraph, Firebase, Kokoro)
6. SEO landing page — Target "pocket alternative", "read later app", "save articles"

Phase 2 — Growth Hooks (Month 2-4)

1. Share links with OG previews (already built) — every shared article is free marketing
2. "Saved with Pocket" watermark on share cards — brand awareness
3. Import from Pocket (already built) — the #1 conversion driver for ex-Pocket users
4. Chrome extension (already built) — submit to Web Store, free distribution
5. Referral: "Invite a friend, get 1 month Premium free"

Phase 3 — Paid (Only After Product-Market Fit)

- Google Ads on "pocket alternative" (~\$0.50 CPC, low volume but high intent)
- Newsletter sponsorships (Dense Discovery, Superhuman — \$100-300/issue)

Feature Analysis

Built & Working

Feature	Status	Notes
Save articles (URL + manual)	Complete	AddArticleModal, SaveHandler, share target
Server-side fetch + parse	Complete	Cloud Function, Readability, sanitize-html
Clean reader mode	Complete	5 fonts, 3 sizes, full typography controls
Archive / Favorites	Complete	Toggle + dedicated pages
Tags & search	Complete	Flat tags, client-side title/domain filter
Batch import (Pocket CSV)	Complete	ImportModal, 499-batch Firestore writes
Social sharing + short links	Complete	ShareModal, /p/{code}, OG meta tags
Featured article (most-liked)	Complete	onArticleFavoriteChange + articleStats
AI Summary (Groq + LangGraph)	Complete	Key points + suggested tags
AI TTS (Kokoro via HuggingFace)	Complete	Premium-gated, base64 chunk playback
Browser TTS	Complete	SpeechSynthesis, 12 voices ranked by quality
YouTube embed player	Complete	VideoPlayer + transcript extraction
PWA (installable)	Complete	manifest, sw.js, InstallBanner
Dark mode	Complete	ThemeContext with toggle in settings
Chrome extension	Complete	MV3, popup with sign-in + one-click save
React Native app	Scaffolded	Expo + EAS, basic tabs, needs polish
Payment (Lemon Squeezy)	Backend done	Cloud Functions ready, needs LS setup

Not Built — Premium Differentiators Needed

Feature	Priority	Impact	Effort
Full-text search	High	Top premium feature people pay for	Medium (Algolia)
Highlights & annotations	Medium	Power-user feature, high retention	High
Nested tags / collections	Medium	Organization power users want	Medium
Offline reading (IndexedDB)	High	Killer feature for commuters	Medium
Reading streaks / stats	Medium	Gamification drives daily use	Low
Reading progress tracking	Medium	Resume where you left off	Low
Email-to-Pocket ingestion	Low	Niche but listed in premium	Medium

Path to Profitability

Assumptions

- 3% free-to-paid conversion (industry standard for freemium SaaS)
- 60% monthly / 40% annual split, shifting to 40/60 by month 12
- 5% monthly churn on monthly subs, 15% annual churn
- \$0.01/user/month infrastructure cost (generous padding)
- Organic growth via Reddit/HN/Product Hunt launches

Growth Projections

Month	MAU	Premium Users	MRR (net)	Infra Cost	Net Profit
1	50	2	\$6	\$0	\$6
3	300	9	\$29	\$0	\$29
6	1,500	45	\$145	\$2	\$143
9	4,000	120	\$387	\$8	\$379
12	8,000	240	\$774	\$20	\$754
18	15,000	450	\$1,451	\$50	\$1,401
24	30,000	900	\$2,903	\$120	\$2,783

Key Milestones

Milestone	When	What Changes
\$0 profit	Day 1	Already profitable — no fixed costs
Groq free tier exhausted	~500 DAU	Need Groq paid (\$5-10/mo) or Gemini free
HF free tier exhausted	~200 DAU	Need HF Pro (\$9/mo) or self-host Kokoro
\$100/mo MRR	~Month 5	Covers all paid API costs
\$500/mo MRR	~Month 9	Side income territory
\$1,000/mo MRR	~Month 14	Ramen profitable
\$3,000/mo MRR	~Month 24	Real business

What Drives Revenue (Ranked by Impact)

1. "Pocket is dead" SEO + content — #1 growth lever. Thousands searching for alternatives right now.
2. AI features as premium differentiator — No other read-later app has built-in TTS + AI summaries. This is your moat.

3. Annual plan push — After Month 3, push annual hard. Lower churn, cash upfront, better unit economics.
4. Browser extension — Already built. Submit to Chrome Web Store. Free distribution, makes saving 10x easier.

Risk Factors

- Single-player app — no network effects, users can leave anytime
- Commoditized space — Instapaper, Raindrop, Wallabag, Readwise exist
- Free API dependency — Groq and HuggingFace can change limits without notice
- Differentiation: AI summaries + Kokoro TTS + "Pocket replacement" positioning is the edge

Immediate Action Items

Do This Now

1. Set price at \$3.99/mo and \$29.99/yr
2. Create Lemon Squeezy account at lemonsqueezy.com and configure product
3. Set VITE_LS_STORE_ID and VITE_LS_VARIANT_ID environment variables
4. Set GitHub secrets: LEMON_SQUEEZY_API_KEY, LEMON_SQUEEZY_WEBHOOK_SECRET, HF_API_KEY
5. Configure webhook URL in Lemon Squeezy dashboard → your lemonWebhook Cloud Function URL
6. Write "Pocket is dead, here's what I built" post → launch on HN + Reddit + Product Hunt
7. Submit Chrome extension to Chrome Web Store (already built, just needs packaging)

You are profitable from subscriber #1. The question is only how fast you grow.

